

UNIT-V

Penalties, Compensation

Penalties, Compensation and Adjunction of violations of provisions of IT Act 2000 and judicial review.

The Indian law concerning Cyberspace and Internet is covered under the IT Act, it provides for basically two types of penalties for violation of the provisions of IT Act, viz.,

- Civil liability of damages or compensation
- Criminal liability as punishment for the commission of offences in the form of either imprisonment or fine or both for the commission of offences by the offenders.

This deal comprehensively the civil liability of damages or compensation for the violation of the provisions under the IT Act.

Penalty and Compensation for Damage to Computer, Computer System

Under Section 43 of the IT Act, it has been provided that if any person without Permission of the owner or any other person who is in charge of a computer, computer system or computer network:

- (a) accesses such computer, computer system or computer network or computer resource;
- (b) downloads, copies or extracts any data, computer database or information from such computer or computer system, or computer network, information or data held or stored in any removable storage medium;
- (c) introduces or causes to be introduced any computer contaminant or computer virus;
- (d) damages or causes to be damaged any computer, computer system or network, data, computer database or any other computer programmes;
- (e) disrupts or causes disruption of any computer system or computer network;
- (f) denies or causes the denial of access to any person authorised to access;
- (g) provides any assistance to any person to facilitate access to a computer system or computer network in contravention of the provisions of this Act;
- (h) charges the services availed of by a person to the account of another person by tampering or manipulating any computer, system or network;
- (i) destroys, deletes or alters any information residing in a computer resource or diminishes its value or utility or affects it injuriously by any means;
- (j) steal, conceals, destroys or alters or causes any person to steal, conceal, destroys or alter any computer source code used for a computer resource with an intention to cause damage, that person shall be liable to pay damages by way of compensation not exceeding one crore rupees to the person so affected.²

Section 43 thus provides for the explanation to the above Section which defines:

- I. computer contaminant
- II. computer database
- III. computer virus
- IV. computer damage
- V. computer source code

compensation for Failure to Protect Data

where a body corporate, possessing, dealing or handling any sensitive personal data or information in a Computer resource which it owns, controls and operates, negligent in implementing and maintaining reasonable security practices and procedures, and thereby causes wrongful loss or wrongful gain to any person, such body corporate shall be liable to pay damages by way of compensation to the person so affected.

In Explanation to Section 43A of the IT Act provides for the definitions—

- (i) body corporate,
- (ii) reasonable security practices and procedures,
- (iii) sensitive personal data or information.

Penalty for Failure to Furnish Information, Return or any Other Penalty

If any person who is required under this Act or any rules or regulations made there under to:

- (a) furnish any document, return or report to the Controller or the Certifying Authority fails to furnish the same, he shall be liable to a penalty not exceeding one lakh and fifty thousand rupees for each such failure;
- (b) file any return or furnish any information, books or other documents within the time specified therefor in the regulations fails to file return or furnish the same within the time specified therefor in the regulations, he shall be liable to a penalty not exceeding five thousand rupees for everyday during which such failure continues;
- (c) maintain books of account or records, fails to maintain the same, he shall be liable to a penalty not exceeding then ten thousand rupees for every day during which the failure continues!

Adjudication of Disputes under the IT Act

- Chapter IX of the Information Technology Act, 2000, herein referred to as the “IT Act,” deals with penalties and adjudication.
- This Chapter has been incorporated to specifically tackle the problem of “cyber contraventions” through unauthorized access to the computer, computer system, or computer network.
- The term ‘Contravention’ is more of a violation of law or rule of procedure, unlike ‘cyber offense,’ which denotes specific criminal violation resulting from the unauthorized access to a computer, computer system or computer network, or computer resource that has to be taken into account.
- Further, the Chapter focuses not just on punitive action for damages to computers, computer systems, or computer networks but also on the process of adjudication.

- Sections 43-45 of the IT Act, 2000 deals with various forms of cyber contraventions and imposes penalties on the offenders.
- The adjudicating officer has the pecuniary jurisdiction of up to five crore rupees, and any affected person seeking to claim compensation beyond this amount has to approach the competent Court for proper redressal.
- One of the salient features of the Information Technology Act, 2000 is the appointment of an adjudicating officer who should not be less than the rank of a Director to the Government of India or an equivalent officer of a state government as an adjudicating officer who shall adjudicate whether any person has committed a contravention of any of the provisions of this Act or of any rule, regulation, direction or order and shall hold an inquiry in the manner prescribed by the central government.

- The adjudicating officer shall have the power to hold an inquiry to adjudge upon the complaints being filed.
- Section 46(1A) prescribes that the pecuniary jurisdiction to adjudicate matters wherein the claim for injury or damage does not exceed Rs 5 crores. In case the claim for compensation goes beyond the Rs 5 crores, the jurisdiction shall vest with a competent or higher court.
- Further, Section 46(2) states that the adjudicating officer shall give a reasonable opportunity to make representation to the person who has violated any of the provisions of this Act or any rule, regulation, direction, or order made thereunder. And if satisfied after conducting an inquiry that the person so accused has committed the contravention, penalty or award of compensation may be imposed by him as deemed fit in accordance with the provisions of that section.

The Appellate Tribunal (AT)

- An appeal tribunal is a special court or committee that is formed to reconsider a decision made by another court or committee.
- The Cyber Appellate Tribunal(CAT) sends a copy of every order made to all the parties to the appeal and the concerned Controller or adjudicating officer.
- A person aggrieved by the CAT's decision or order may submit an appeal to the High Court within sixty days of the date of notification of the Tribunal's decision or order to him on any point of fact or law arising out of such order, according to Section 62 of the IT Act.
- It is significant to note that Cyber Appellate Tribunal, the body which existed earlier under the Information Technology Act, 2000 has been merged with the Appellate Tribunal that is the Telecom Dispute Settlement and Appellate Tribunal (TDSAT) under the Telecom Regulatory Authority of India Act, 1997 by Finance Act, 2017. Sections 49, 50, 51, 52, 52A, 52B, 52C, 53, 54 and 56 of Chapter X of Information Technology Act have been omitted by Finance Act, 2017. Provisions relating to Appellate Tribunal are explained next.

- The Appellate Tribunal Sec. 48(1)
- The Appellate Tribunal (AT) (Sec. 57)
- Procedure of AT (Sec. 58(1))
- Power of AT (Sec. 58(2))
- Right to make Legal Representation (Sec. 59)
- Civil court not to have jurisdiction (Sec. 61)
- Appeal to High Court (Sec. 62)

Compounding of contraventions and recovery of penalty or compensation

- The word 'compound' used in this section means agreeing for considerations, not to prosecute a person. Compounding an offence means abstaining from prosecuting the person of any offence or crime in question". Moreover, according to the proviso of this section, the maximum amount of penalty or compensation which can be compoundable under this Act is Rupees one crore.
- A penalty imposed or compensation awarded under this Act, if it is not paid, shall be recovered as an arrear of land revenue and the license or the Electronic Signature Certificate, as the case may be, shall be suspended till the penalty or compensation is paid

Appeal to the High court under the IT Act, and Judicial review under the constitution of India

- Under the IT Act, any person aggrieved by any decision or order of the Appellate Tribunal may file an appeal to the High Court within sixty days from the date of communication of the decision or order of the Appellate Tribunal to him on any question of fact or law arising out of such order: Provided the High Court may, if it is satisfied that the appellant was prevented by sufficient cause from filing the appeal within the said period, allow it to be filed within a further period not exceeding sixty days?!
- This means that the High Court has been given the authority of second appeal as against the orders of the first appeal before the Appellate Tribunal under the IT Act.
- What is sufficient cause or not will be dependent upon facts of the case. There cannot be a straightjacket formula for accepting or rejecting explanation furnished for the delay caused in taking steps.

- A body having capabilities and procedures resembling those of a judge or court is known as a "**quasi-judicial** entity," such as an arbitrator or tribunal board. It is necessary to fairly gather the information and draw conclusions from it if it is to serve as the basis for a formal action. They often only have responsibility over one extremely narrow area of the law, such as public standards, financial markets, land use and zoning, etc.
- Article 226, 227, 32, 136.

Sample Questions:

- Explain the legal provisions for the penalty and compensation for Damage to the computer and computer system.
- What is the remedy in the case of failure to protect data under the Information Technology Act, 2000 as amended in 2008?
- Discuss the adjudicatory mechanism under the Information Technology Act, 2000 as amended in 2008.
- Highlight the importance of TDSAT